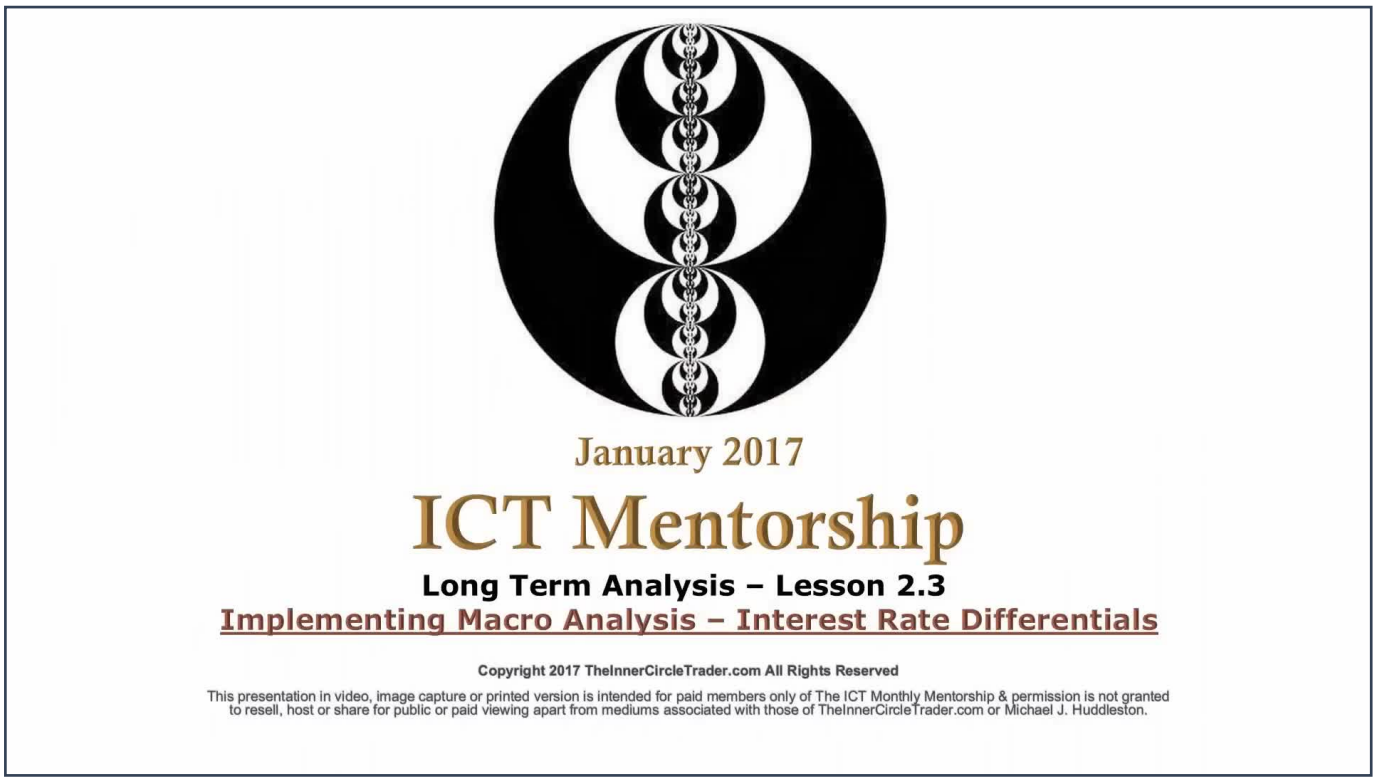
ICT MENTORSHIP CORE CONTENT

ICT MENTORSHIP CORE CONTENT - MONTH 05 - INTEREST RATE DIFFERENTIALS



This lesson is on Interest Rate Differentials, focusing on the macro view of central bank interest rates. This is a critical starting point for understanding significant currency movements.

- You can find a list of global currency interest rates from central banks on websites like fxstreet.com.

- All specific links and detailed information will be provided in the PDF notes for this mentorship lesson.

ICT Monthly Mentorship

Top Down Analysis

[Interest Rate Differentials]

Central Bank Interest Rates:

The macro perspective has to begin with Central Bank Interest Rates. These rates are set to stimulate or instigate inflation in a country's economy.

The Long Term Macro concept is to look for a High Interest Rate country and pair that country with a Low Interest Rate country. The respective currencies- when coupled as a Forex pair - is "fundamentally" poised for strength in relative terms against all others.

The reverse is said for Low paired countries with High Interest Rates coupled with a High Interest Rate country. These pairs would be viewed as "fundamentally" poised for weakness in relative terms against all others.

CENTRALBANKS	CURRENTINTERESTRATE
SWISS NATIONAL BANK	-0.75 %
BANK OF JAPAN	-0.1 %
EUROPEAN CENTRAL BANK	0 %
RESERVE BANK OF NEW ZEALAND	1.75 %
BANK OF CANADA	0.5 %
RESERVE BANK OF AUSTRALIA	1.5 %
FEDERAL RESERVE	0.75 %
BANK OF ENGLAND	0.25 %

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When examining the list of central bank interest rates, the goal is to identify currencies with significantly higher or lower rates.

- Currently, the list shows an anemic state of interest rates globally, but there will always be a differential.

- The highest rates on the example list are from the Reserve Bank of New Zealand and the Reserve Bank of Australia.

- The lowest rates include the Bank of Japan, the Swiss National Bank, and the European Central Bank (at zero).

- We will explore two trading examples based on these interest rate differentials on a higher timeframe basis.

FUNDAMENTAL BASIS FOR CURRENCY TRADING WITH INTEREST RATE DIFFERENTIALS

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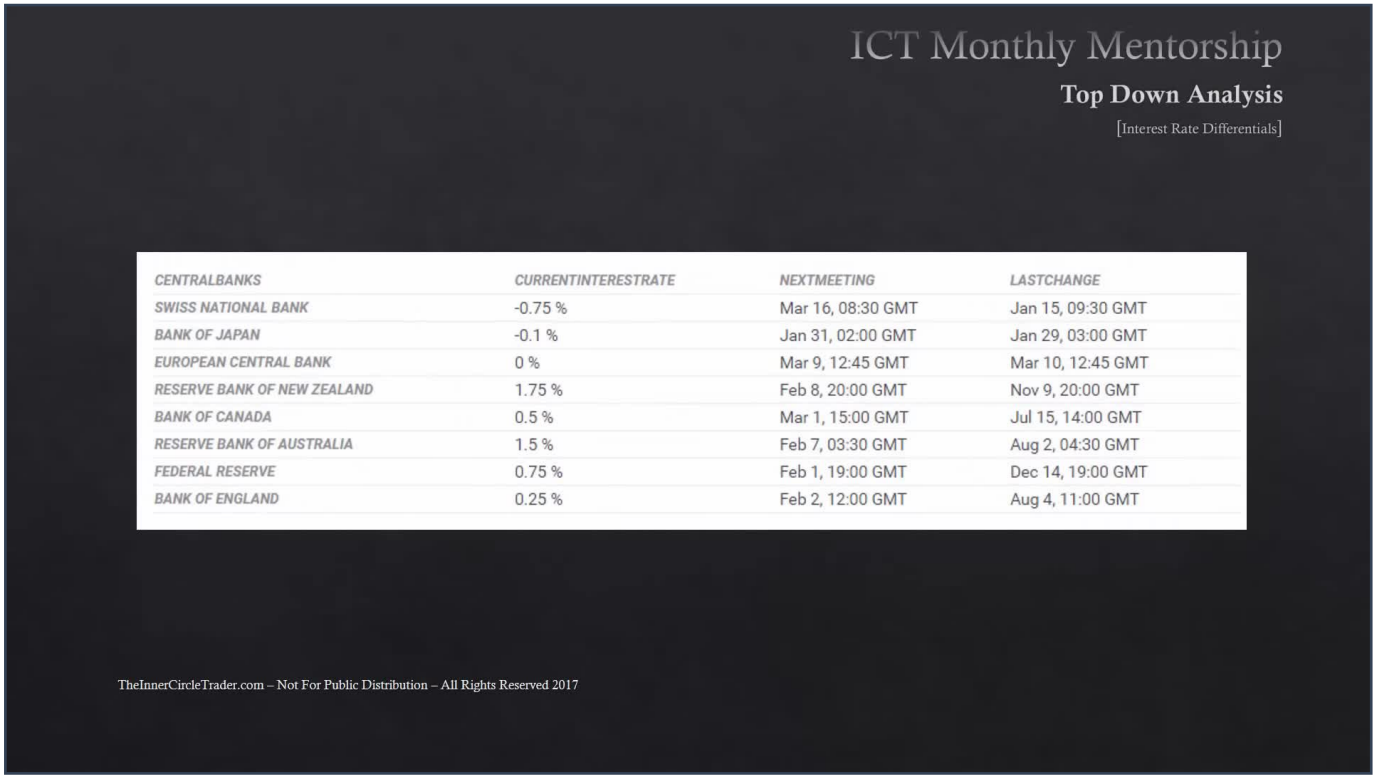

CENTRALBANKS	CURRENTINTERESTRATE	NEXTMEETING	LASTCHANGE
SWISS NATIONAL BANK	-0.75 %	Mar 16, 08:30 GMT	Jan 15, 09:30 GMT
BANK OF JAPAN	-0.1 %	Jan 31, 02:00 GMT	Jan 29, 03:00 GMT
EUROPEAN CENTRAL BANK	0 %	Mar 9, 12:45 GMT	Mar 10, 12:45 GMT
RESERVE BANK OF NEW ZEALAND	1.75 %	Feb 8, 20:00 GMT	Nov 9, 20:00 GMT
BANK OF CANADA	0.5 %	Mar 1, 15:00 GMT	Jul 15, 14:00 GMT
RESERVE BANK OF AUSTRALIA	1.5 %	Feb 7, 03:30 GMT	Aug 2, 04:30 GMT
FEDERAL RESERVE	0.75 %	Feb 1, 19:00 GMT	Dec 14, 19:00 GMT
BANK OF ENGLAND	0.25 %	Feb 2, 12:00 GMT	Aug 4, 11:00 GMT

Interest Rate Differentials provide the fundamental basis for buying or selling a particular currency.

- Money naturally seeks yield, making currencies with higher interest rates attractive for buying (e.g., Australian or New Zealand currency).

- Conversely, a weak interest rate signifies an expectation of weakness in that country's economy or currency (e.g., Swiss National Bank, Bank of Japan, European Central Bank, Bank of Canada, Bank of England, Federal Reserve).

- By analyzing these differentials, we can build models for long-term macro trades on a higher timeframe, which offer the most significant movement opportunities.

- Funds will typically seek to trade high-yielding currencies against weak-yielding currencies, effectively buying strong currencies and selling weak currencies. They aim to buy strong 'payers' and sell weak 'pairs'.

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The process for selecting a currency pair based on interest rate differentials involves three key steps:

- First, identify a country with a high interest rate.

- Second, select a country with a low interest rate, ensuring there's a strong, noticeable difference between the two.

- Third, determine the specific forex pair coupling based on these two countries.

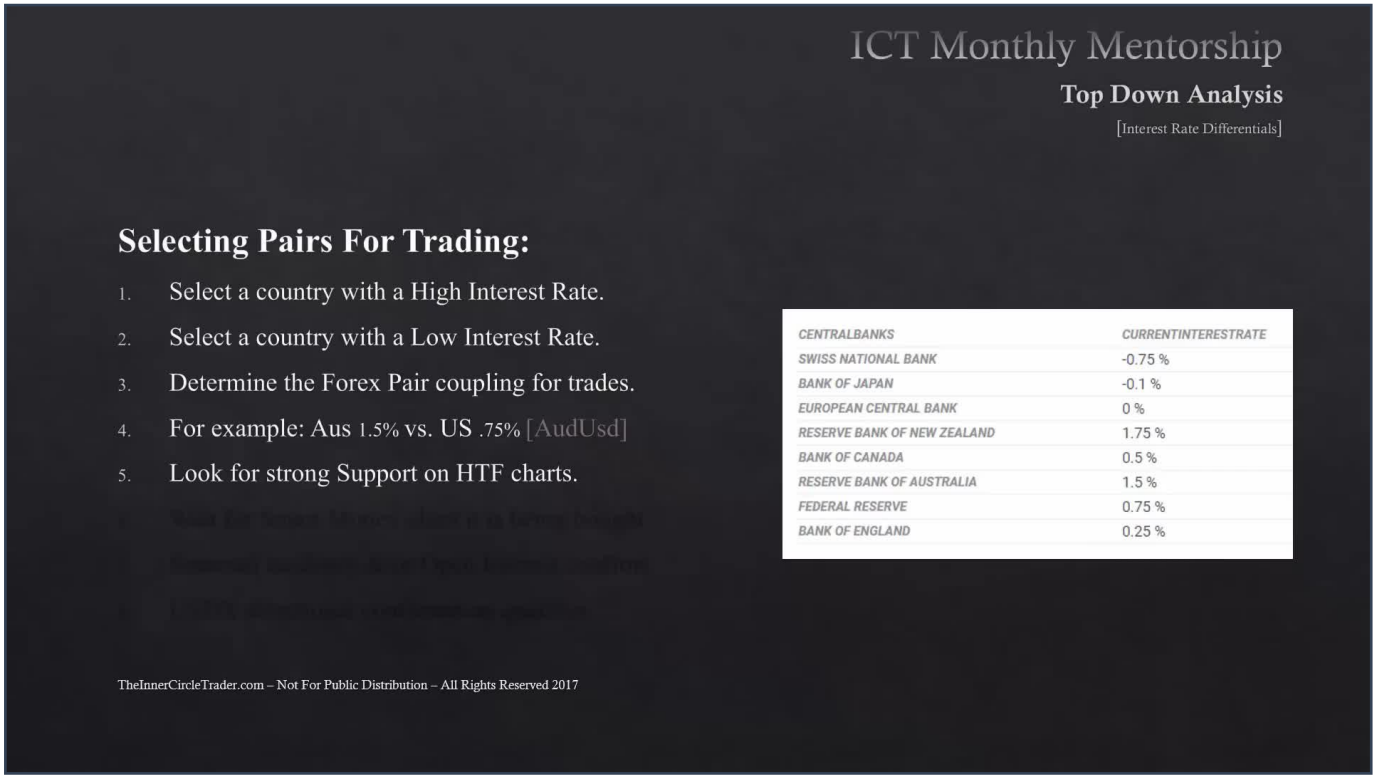
For our first example:

- We select the Australian Dollar (AUD) as our high interest rate yielding country, with an interest rate of 1.5 percent.

- We pair this with the US Dollar (USD), representing a weaker currency from the Federal Reserve, with an interest rate of 0.75 percent (note: this data factored in a 25 basis point hike, meaning the rate was 0.50 percent at the time of the trade review).

- The resulting forex pair is AUDUSD.

- Our focus is on buying strength in the Australian Dollar against the weaker US Dollar. We look for strong support on a higher timeframe chart, aligning with a long-term macro perspective for sizable moves driven by large institutional flows. This approach fundamentally aligns with central bank interest rates.



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To confirm our AUDUSD trade setup, we look for specific smart money clues indicating that the currency is being bought.

- We rely on indicators previously discussed in the mentorship that point to institutional buying.

- Key confirmation tools include seasonal tendencies and/or open interest data.

- We do not need every possible confirmation scenario; one or two strong indicators are sufficient.

- Additionally, we seek US Dollar Index directional confirmation to further qualify the setup, ensuring alignment with overall dollar sentiment.

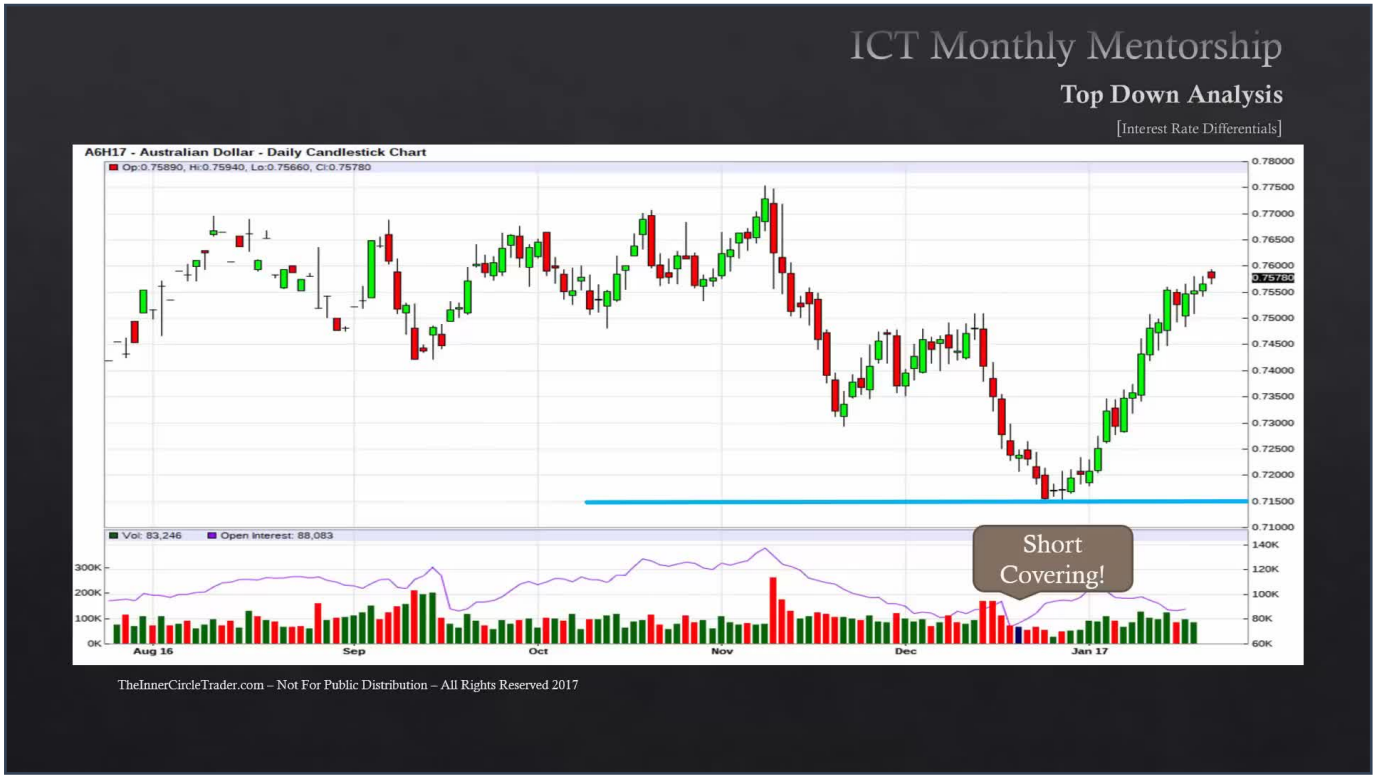
Analyzing the Australian Dollar cash price, we identified a long-term support level at 71.50, which was an old low.

- On the March 2017 Australian Dollar contract, price traded directly into this 71.50 level and found support.

- A crucial smart money clue was observed in the open interest data: a consistent decline, culminating in a significant reduction (visible as a sharp drop in the purple line).

- This massive reduction in open interest is a strong indication of short covering by smart money or large commercial traders.

- When commercials are short covering, they are not taking the other side of buyers; instead, they are resetting their positions, anticipating sharply higher prices.



From the 71.50 support level, the Australian Dollar saw a rally of over 400 pips.

- This significant move was the result of a powerful combination:

- Higher timeframe support at 71.50 (an old low).

- A sudden reduction in open interest, signaling short covering by smart money.

- Fundamental alignment: the Australian central bank's 1.5 percent interest rate providing a higher yield compared to the Federal Reserve's 0.75 percent (or 0.50 percent at the time of the trade).

- This confluence of factors explains why the Australian Dollar was discussed as going higher throughout the mentorship, with targets such as 75.80 being mentioned.

- When fundamentals (central bank interest rate differentials) align with strong technicals on higher timeframe charts, it creates excellent opportunities for substantial market moves.

- These higher timeframe interest rate yield scenarios, coupled with high-probability technicals, allow traders to get in sync with major price shifts that often surprise less experienced traders.

- Another confirmation was a higher high in the US Dollar Index, while the Australian Dollar failed to make a lower low, indicating a divergence that favored AUD strength.

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For our second example, we reverse the selection process:

- We start by selecting a country with a low interest rate.

- Then, we select a country with a high interest rate.

- Finally, we determine the forex pair that couples for this trade.

For this example:

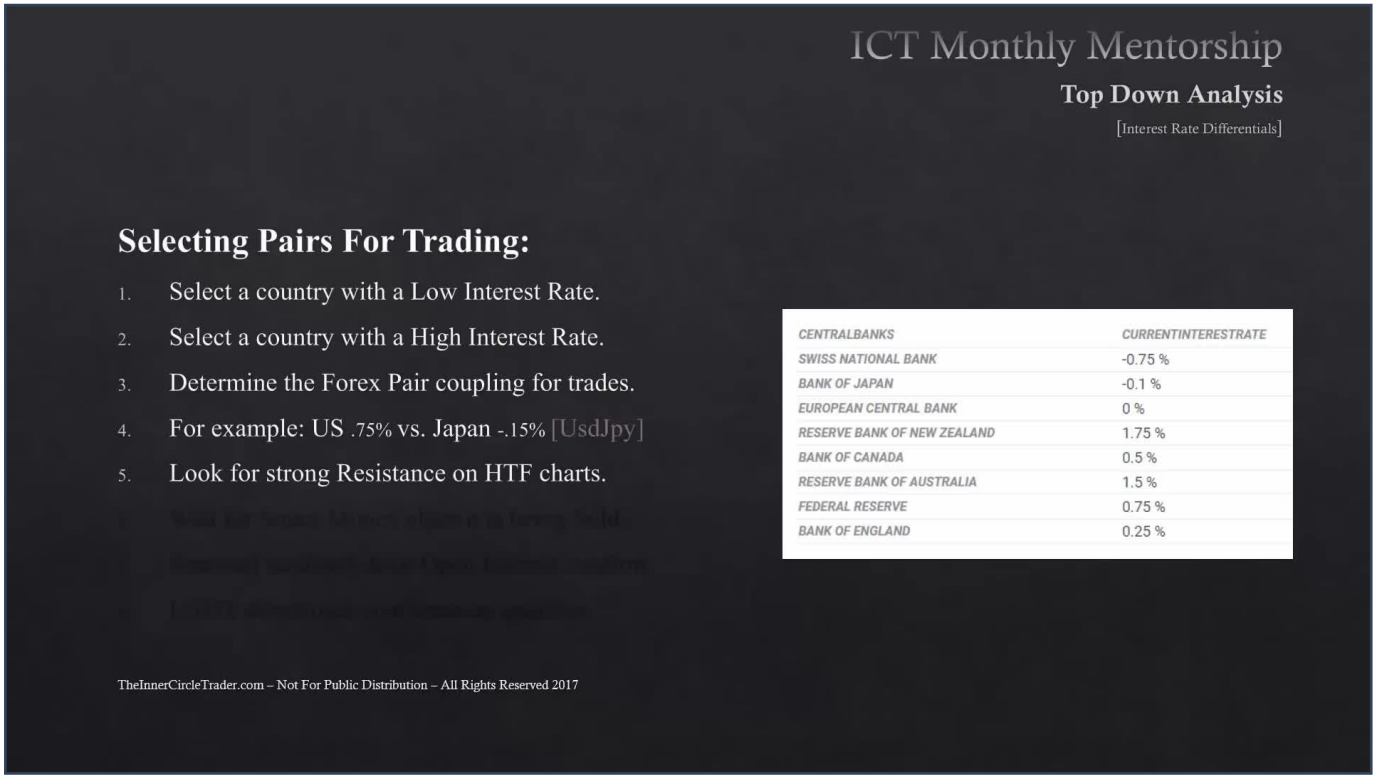
- We use the US Dollar with a higher yielding currency interest rate of 0.75 percent (again, 0.50 percent at the time the trade was being shown).

- We pair this against the Japanese economy, where the central bank rate was negative.

- The two respective countries and their currencies would be paired as Dollar-Yen (USDJPY).

- Our expectation is that the weaker currency is the Japanese Yen due to its lower (negative) interest rate basis, against the stronger US Dollar which has the higher yielding central bank rate.

- When buying the dollar and selling the yen, the USDJPY pair is expected to go higher. This means even though we are looking for weakness in the yen, the way the pair is formed results in the USDJPY pair strengthening or increasing on our charts.



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To confirm the USDJPY trade setup, we look for specific smart money clues that the Japanese Yen is being sold.

- We search for strong resistance levels on higher timeframe charts for the Japanese Yen.

- We wait for smart money indications that selling is occurring.

- Seasonal tendencies and/or open interest data are crucial for confirming the trade.

- We also look for US Dollar Index directional confirmation to qualify the setup, ensuring alignment with the overall dollar trend.

ICT Monthly Mentorship

Top Down Analysis

[Interest Rate Differentials]

Selecting Pairs For Trading:

1. Select a country with a Low Interest Rate.
2. Select a country with a High Interest Rate.
3. Determine the Forex Pair coupling for trades.
4. For example: US .75% vs. Japan -.15% [UsdJpy]
5. Look for strong Resistance on HTF charts.
6. Wait for Smart Money clues it is being Sold.
7. Seasonal tendency &/or Open Interest confirm.
8. USDX directional confirmation qualifies.

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Observing the cash price of the Japanese Yen on a weekly chart, we identified a bearish order block around the 98.00 level.

- Price traded up into the 90 big figure, and then significant weakness was observed from that point.

- This move coincided with the heels of the Donald Trump election.

- The resulting price movement was massive, well over 1200 pips of decline in the Yen (meaning USDJPY went up).

- This outcome was based on the central bank interest rate differential (US Dollar offering a higher yield than the negative-yielding Japanese Yen).

- Coupling this fundamental differential with strong technicals, seasonal tendencies, and understanding the market's expectation of high volatility due to the election, all contributed to this massive decline in the cash price of the Japanese Yen.

- This analysis was the basis for continuously calling the Dollar-Yen higher throughout the mentorship. These insights, combining higher yielding interest rates with inner circle trader technicals, produce massive, higher timeframe price moves.

These concepts are primarily for higher timeframe analysis and trade facilitation, not for day trading. While trading in this established direction increases short-term trade probability, their main utility is for higher timeframe plays.

- Large funds, due to their trend-following nature, rely on fundamental reasons like interest rate differentials to trade specific currencies.

- The biggest moves witnessed in the last three to six months have largely been driven by the differentials and the method of using central bank interest rates we've discussed.

- By 'pegging' central bank interest rates together for specific currency pairs and aligning with technicals, you can identify the footprint of large institutional flows pouring money into or out of a particular currency.

- For instance, if you examine the Dollar-Yen pair in November, you would see a strong buy or a significant low in that currency pair consistent with this analysis.

- We will delve deeper into interest rate differentials and introduce yield spreads when we cover swing trading.

For homework, conduct the following exercise:

- Review your charts and identify interest rate differentials between all weaker and higher-yielding central bank currencies.

- Look back over the last six months and identify specific currency pairs where these differentials would have been a factor.

- Find setups that occurred at higher timeframe support/resistance levels, institutional order flow ideas, and incorporate open interest analysis at these support levels.

- In hindsight, justify why the fundamentals (interest rate differentials) were in alignment with those significant price moves over a three to six-month period.

- While I do not advise trading exotic pairs (e.g., Euro Swissy), you can look at some of these for the purpose of this exercise to see how a higher-yielding interest rate versus a lower one would pair up in a forex trade.

- Analyze the respective price action on those pairs over the last three to six months, viewing the information from the central bank interest rate level.

- This is a simplistic yet powerful approach to long-term trading, coupled with a fundamental understanding of how large funds operate and move capital based on interest rate information.